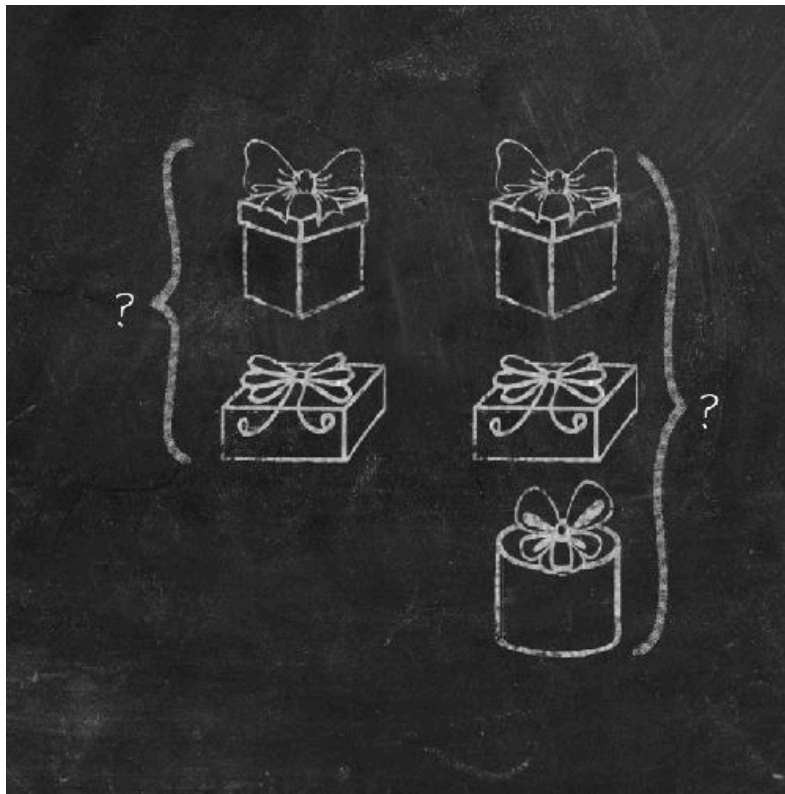


The Allais paradox



French economist Maurice Allais gave his name to a paradox in which economic behaviour violates a basic notion of rationality. Suppose that Sally can choose between a Mars Bar or a Twix, and chooses the Mars Bar. She is then offered a choice between a Mars Bar, a Twix and a Snickers. If she is economically rational, she should choose either the Mars Bar or the new option, the Snickers; the addition of a Snickers to the range of options shouldn't change her preference for the Mars Bar over the Twix.

Economists call this criterion of rationality 'independence'. But in more complex situations where people were expected to choose between uncertain outcomes, Allais found that independence would frequently be violated: somehow people were influenced by the inclusion of alternatives that should have made no difference. Allais's insights have prompted economists to

investigate more closely the psychological bases of economic behaviour.